16%

rise in the value of Google shares in a single day on Friday, July 17th, 2015

Derivatives—options and futures

The value of derivatives depends on the performance of an underlying asset. They are traded to provide capital growth, or to limit risk within a business or a portfolio. Professional investors may use them to hedge their portfolios. *See pp.52–53*

Bonds and loans

These are IOUs between a company and an investor. The investor effectively loans a company or government money and, in return, the borrower pays interest to the investor over a set period, at a set rate, with a specified date for the return of the capital. *See pp.50–51*

Insurance

An insurance policy involves a company or individual paying a premium to an insurance company, entering into a contract that promises monetary compensation in the event of them suffering a pre-agreed loss scenario. *See pp.78–79*

Funds

An investment fund (such as an ETF fund) is a supply of capital belonging to a group of investors. This money is invested by the fund in the hope that the fund's share price will increase, netting the investors a capital gain. It may also pay interest. *See pp.80–81*

✓ NEED TO KNOW

- **Capital gain** Profit from the sale of assets such as shares.
- **Risk** The chance that an investment's return may be lower or different than expected.
- **Portfolio** A range of investments held either by an individual or by an organization.